

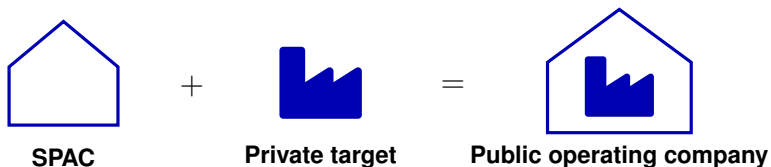
Learning from the Market: The Choice Between IPOs and SPAC Mergers

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Special Purpose Acquisition Company (SPAC)



- ▶ **Major IPO alternative:** ~50% market share over the past decade
- ▶ **Recent boom:** 144 new SPACs in 2025; 135 in 2026 through July
- ▶ **Capacity for future deals:** 264 active SPACs with \$50 billion in cash

SPAC mergers remain active across industries in 2026

May 8, 2026	Enhanced Games Owner Jumps 21% After Going Public Via SPAC Enhanced Group Inc. shares climbed almost 21% after going public via a merger with blank-check company A Paradise Acquisition Corp. By Jordan Fitzgerald	
May 27, 2026	Solid-State Battery Maker ProLogium to Go Public in SPAC Deal ProLogium Technology Co. agreed to merge with a blank-check firm in a deal that the company says values it at about \$3.8 billion, joining a growing number of next-generation battery makers going public via SPACs. By Coco Liu	
June 24, 2026	SPAC Deals Seen as Key Path to Public Market in Data Center Boom The rebound in blank-check companies is proving to be a useful route to public markets for companies involved in the artificial intelligence-data center build-out, said Betsy Cohen, a veteran of SPAC dealmaking. By Michael Hytha and Dani Burger	
June 25, 2026	Drone Startup Elroy Air Is Said to Near \$800 Million SPAC Deal Elroy Air Inc., a cargo drone startup aiming to replace delivery trucks, is in advanced talks to go public through a merger with a blank-check vehicle that will create a company with an enterprise value of about \$1 billion. By Ryan Gould	
June 30, 2026	Newsletter: Bloomberg Deals Europe Startups in Search of Cash Opt for SPAC Route Nine European startups have announced plans to merge with US blank check firms this year. By Pablo Mayo Cerqueiro, Yazhou Sun and Crystal Tse	

This paper's focus: investor communication in SPACs and IPOs

► Example: Polestar, Volvo's electric-vehicle brand



Polestar 1



Polestar 2

Price	~\$155k	~\$50-60k
Start of Production (SoP)	2019	2020
Range	~120km range ¹	~540km range ¹

IPO

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► Example: Polestar, Volvo's electric-vehicle brand

					
	Polestar 1	Polestar 2	Polestar 3 Luxury Aero SUV	Polestar 4 Premium Sport SUV	Polestar 5 Luxury Sport GT 4 Door
Price	~\$155k	~\$50-60k	Porsche Cayenne	Porsche Macan	Porsche Panamera
Start of Production (SoP)	2019	2020	2022E	2023E	2024E
Range	~120km range ¹	~540km range ¹	+600km target range	+600km target range	+600km target range
	<u>Info in IPO</u>		<u>Additional info in SPAC merger</u>		

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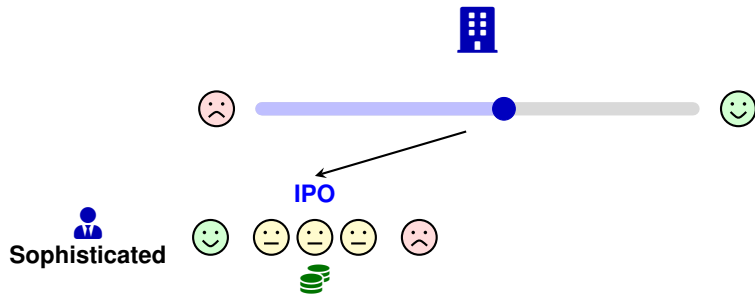
					
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- *“[The SPAC gave us] a better opportunity to tell the public marketplace about our story, what our future was going to look like.”*
— Ben Wolff, Sarcos CEO, on choosing a SPAC over an IPO
- *“Reasonable investors want and need forward-looking information to make informed investment decisions.”*
— Hester M. Peirce, SEC Commissioner
- *“Such projections can be overly optimistic, with retail investors experiencing substantial losses.”*
— Jaime Lizárraga, SEC Commissioner

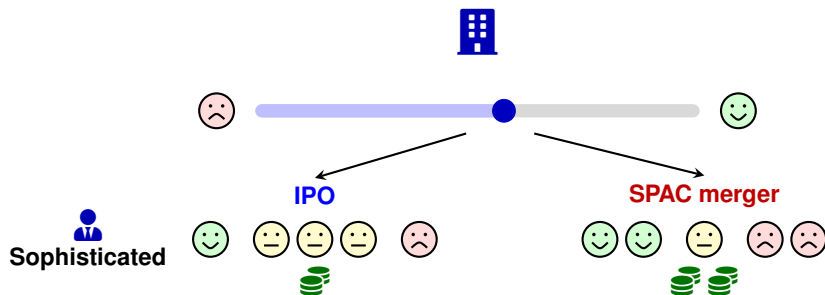
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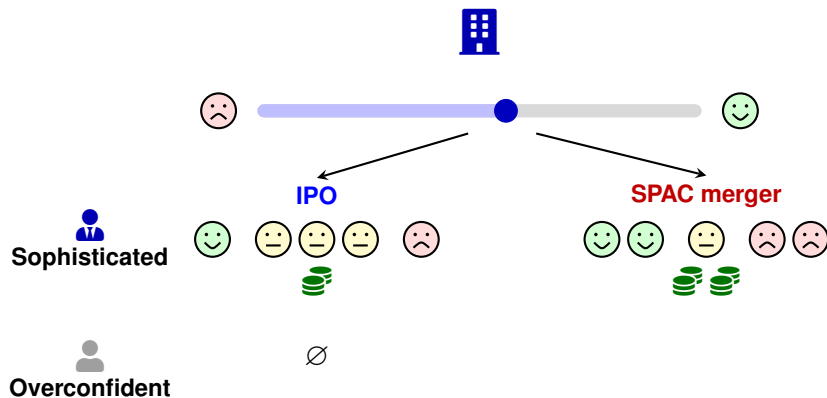
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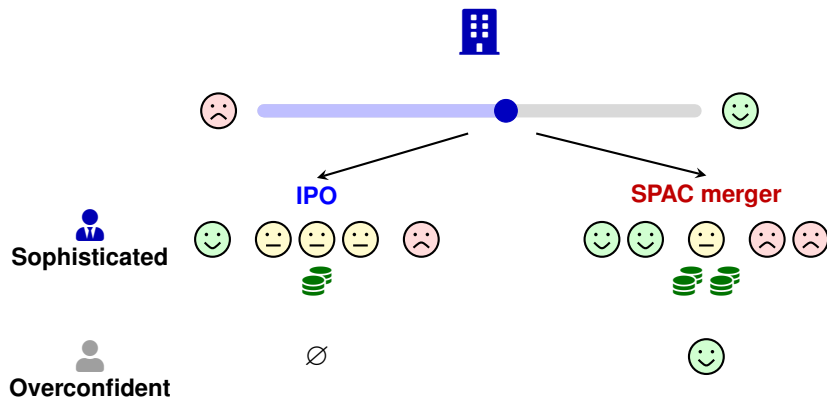
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Learning from the market



Learning from the market



Investor evaluation determines the financing outcome



Low



Fail

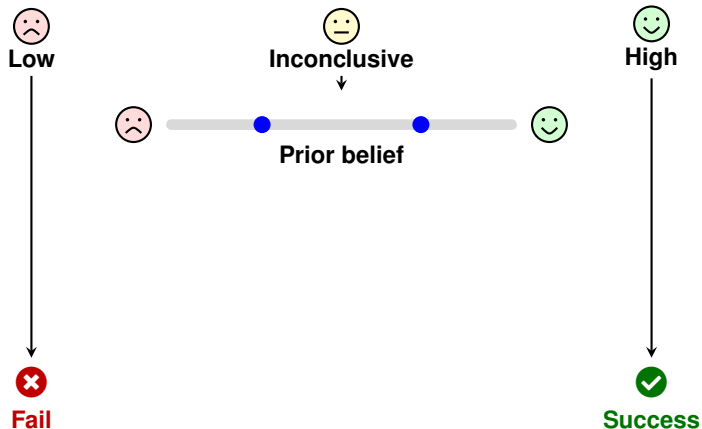


High

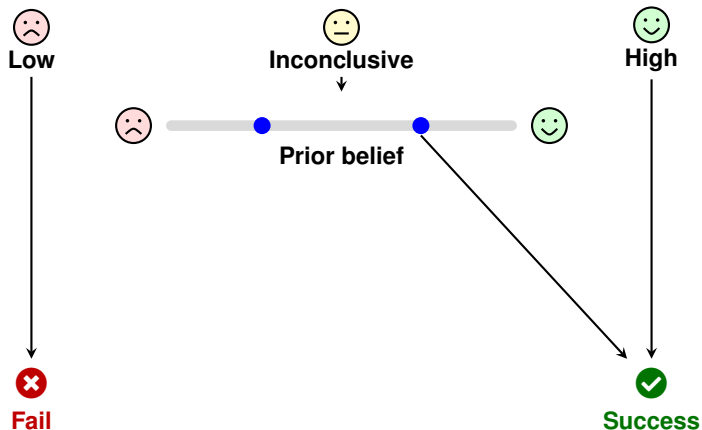


Success

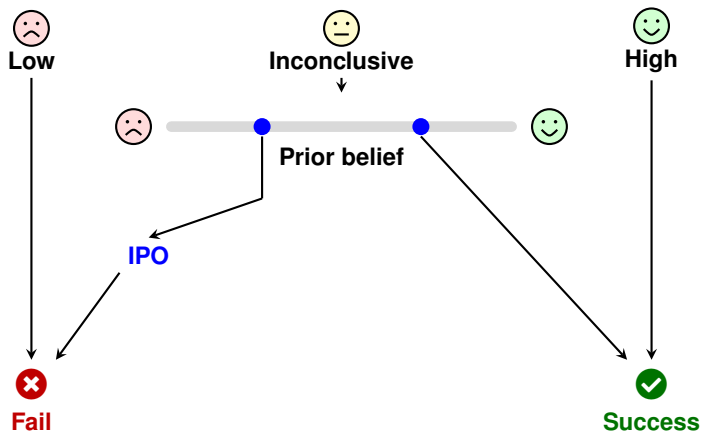
Investor evaluation determines the financing outcome



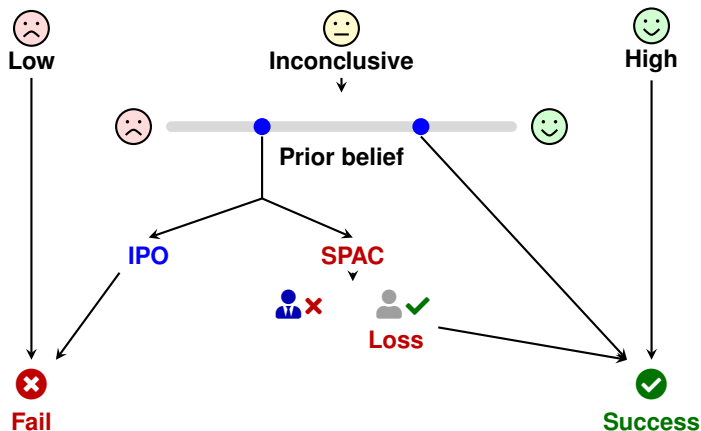
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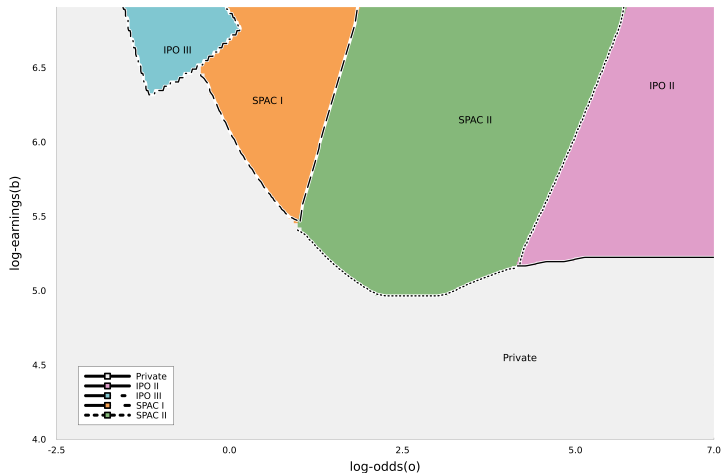
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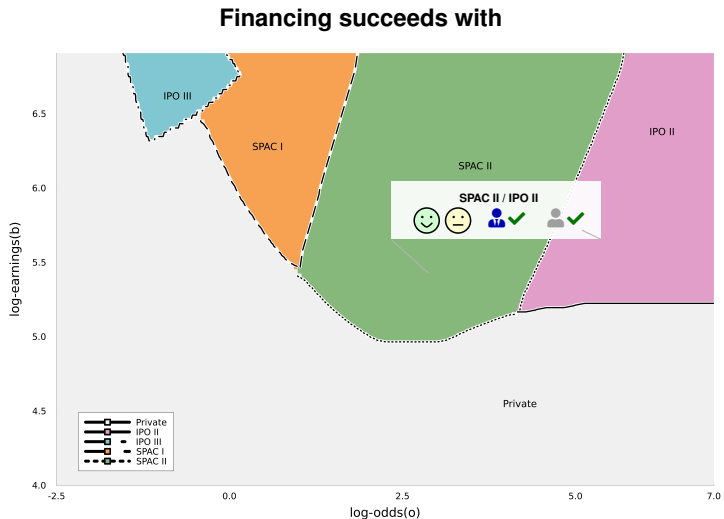
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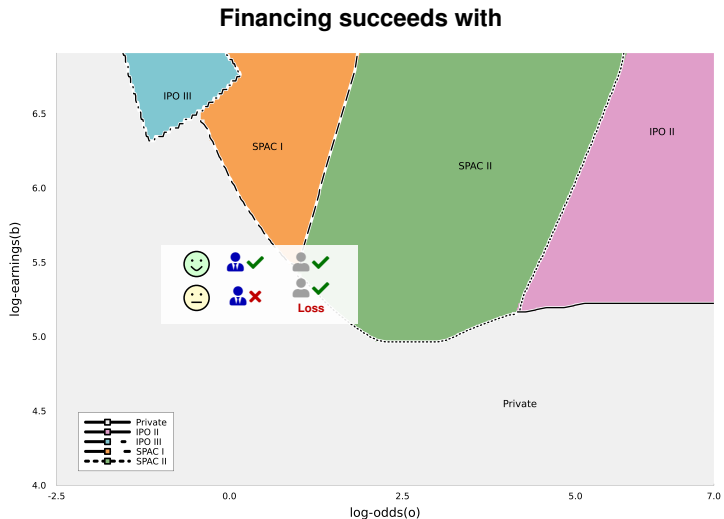
Which firms choose a SPAC rather than an IPO?



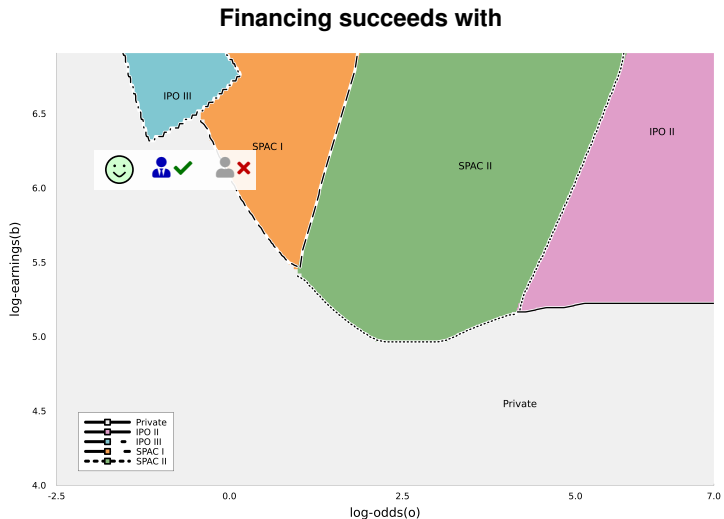
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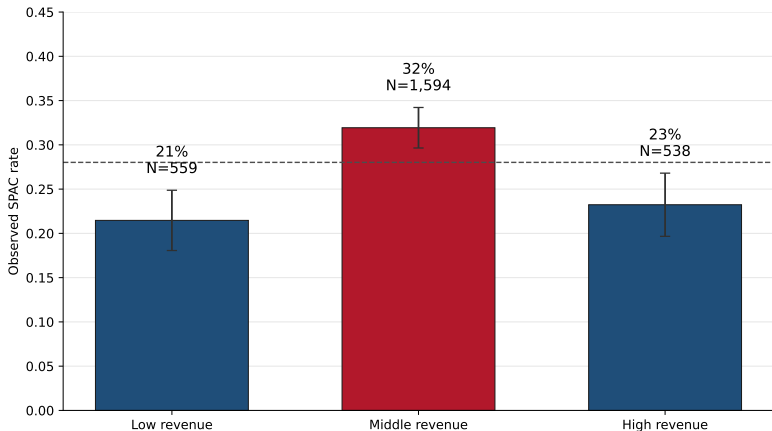
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SPAC choice peaks at intermediate revenue



The estimates quantify the investor-protection tradeoff

- ▶ More precise screening on low-type firms: **20% IPO → 50% SPAC**
- ▶ Financing backstop from overconfident investors: **40% of the time**
- ▶ Policy tradeoff from restricting projections:

$$\begin{aligned} & \text{\textcolor{green}{\$5.75bn investor protection benefit}} \\ & \quad - \text{\textcolor{red}{\$9.80bn firm option value loss}} \\ = & \text{\textcolor{red}{\$4.05bn net cost (20% of median net income)}} \end{aligned}$$

Conclusion

- ▶ A unified framework for firms' going-public choices and investor learning
- ▶ Novel prediction supported by empirical evidence: firms with intermediate market beliefs are more likely to choose SPACs
- ▶ Structural estimation quantifies the regulatory tradeoff between investor protection and firms' access to public capital